FRIENDLY WAGER

Private, On-Chain Wagers Between Friends

Execution Plan

Core idea: systematize the informal "I'll bet you" behavior that already exists among friends. The app handles invitations, escrow, resolution, settlement, reputation, and a small platform fee while keeping the crypto mechanics largely invisible.

1. Product Thesis

People already make informal bets with friends constantly: sports, golf, fitness goals, fantasy leagues, business outcomes, and everyday arguments. The current process is messy: terms are forgotten, payments are chased, and disputes are awkward.

Challenge -> Accept -> Fund -> Resolve -> Settle

The blockchain provides escrow and settlement. The friend group provides trust and resolution. The application provides the social experience.

2. Core Principle

This is not a public prediction market. There is no public order book, anonymous counterparty matching, market making, secondary trading, or leverage.

Instead, it is a private challenge network for people who already know one another - conceptually, Venmo x Splitwise x smart-contract escrow x friendly bets.

3. MVP User Experience

Create a Group

A user creates a persistent private group such as Saturday Crew and invites friends by SMS, email, or deep link. Each member gets an embedded wallet behind the scenes.

Create a Challenge

Natural-language input: "$25 each that Texas beats Ohio State." The app converts this into structured terms: proposition, stake, participants, sides, deadline, and resolution method.

Friends Join

Friends receive the challenge, select a side, and commit funds. When the required participants have funded, the wager locks and the terms become immutable.

4. Contract Model

Each wager records participants, invited users, accepted users, proposition, outcome choices, stake, event deadline, resolution method, resolution deadline, attestation threshold, platform fee, and commitment bond.

Funding example: $25 stake + $1 resolution bond = $26 total commitment per participant.

5. Resolution Hierarchy

Level 1 - Oracle

Objective events such as sports scores, market prices, elections, weather, or public statistics resolve automatically through an approved data source.

Level 2 - Concede

For non-oracle wagers, losing participants can concede. If all losing positions concede, the contract settles immediately.

Level 3 - Group Attestation

If the outcome is not automatically resolved, eligible participants attest to the result. Once the required threshold is reached, the contract settles. Start by testing a simple majority and compare it with 60% or two-thirds thresholds.

6. Resolution Bond

Every wager includes a small commitment bond. Participants who attest within the resolution window get the bond back. Participants who fail to attest forfeit it.

Forfeited bonds should go to participants who properly attested - not to the platform. This keeps the house economically neutral about whether a wager becomes disputed.

Illustrative rule: $25 wager + $1 bond; 72-hour attestation period.

7. Reputation

Users develop reputation inside their groups: challenge record, net winnings, total challenges, and attestation rate. A poor attestation rate becomes visible and creates social pressure to behave.

Example: Kevin - 47 challenges, 31-16, +$485, 100% attestation. Mike - 32 challenges, 12-20, -$220, 78% attestation.

8. Group Governance

Group owners can invite or remove members, establish default wager limits, set monthly limits, choose default resolution rules, and set default bonds. Persistent bad actors simply stop getting invited or are removed from the group.

9. Risk Controls

Start deliberately small. Initial illustrative limits:

- $100 maximum per person per wager.
- $500 maximum total pot.
- $1,000 maximum monthly committed volume per user.
- Private groups only; no public discovery.
- No secondary trading, leverage, credit, or anonymous participants.
- Age verification and geographic restrictions as required by legal analysis.

These controls do not replace regulatory compliance, but they reinforce the product's intended friendly-wager use case.

10. Economics

Initial platform fee: 1% of settled wager volume. No subscription and no fee to create a challenge. Monetization occurs only when a wager successfully settles.

Illustrative scale: 100K active users x $200 monthly wager volume = $20M monthly GMV and $200K monthly revenue at 1%, or $2.4M annualized. At 1M active users, the same behavior implies roughly $24M annualized revenue.

The key early question is not take rate. It is whether social wagering creates a high-frequency viral loop.

11. Viral Loop

The challenge itself is the invitation. A user challenges five friends; non-users receive a direct invitation to take the other side; they sign up to participate; then some create their own challenges and groups.

The challenge is the acquisition channel.

12. AI Layer

Natural language should be the primary creation interface. The user says what they want to bet, who they want to challenge, and roughly how much. AI converts the statement into structured contract terms and identifies whether an objective oracle is available.

Example: "I'll bet Fred and Mike $50 each that Texas makes the playoff." The app generates the proposition, sides, stakes, participants, and resolution source for review before sending.

13. Technical Architecture

- Front end: Next.js / React, mobile-first PWA initially.
- Authentication: email, phone, passkey, or social login.
- Wallet: embedded smart wallet; users should not manage seed phrases.
- Chain: Robinhood Chain testnet initially; maintain EVM portability.
- Contracts: GroupRegistry, WagerFactory, Wager, Treasury, ResolverRegistry.
- Gas: sponsor transaction costs initially where practical.

14. Data Model

On-chain

Wager ID/hash, participant wallets, stakes, funds, resolution rules, attestations, outcome, and settlement.

Off-chain

Postgres stores users, profiles, groups, invitations, descriptions, images, comments, notifications, statistics, reputation, and analytics. Store a hash of final wager terms on-chain.

15. Oracle Strategy

Do not attempt universal oracle support in V1.

- Sports: sports-data provider -> trusted resolver service -> contract.
- Crypto / market prices: Chainlink or equivalent.
- Everything else: participant attestation.

Attestation gives the system effectively unlimited wager categories without requiring a bespoke oracle for every event.

16. Dispute Rules

Rules must be established before funds lock. After the wager is live, terms cannot change.

- T+0: event ends.
- T+24h: reminder.
- T+48h: reminder plus bond warning.
- T+72h: attestation period closes.
- If threshold is achieved: settle.
- If threshold is not achieved: refund stakes; non-participants in attestation lose their bonds.

The house never confiscates the wager pot.

17. MVP Screens

- Home: active challenges, pending challenges, recent results.
- Create: natural-language "What do you want to bet?" input.
- Challenge: terms, participants, sides, stake, accept.
- Group: members, leaderboard, history.
- Resolution: outcome, concede, attest.
- Wallet: balance, deposits, withdrawals, history.

18. Build Order

A. Prototype

Build immediately on testnet: embedded wallets, group creation, invitations, two-sided wagers, test token, contract escrow, manual attestation, settlement, 1% protocol fee, and resolution bonds. Ignore sophisticated oracles initially - attestation can resolve everything.

B. Private Alpha

Recruit approximately 25-50 people organized into 5-10 real friend groups. Give everyone test money and tell them to bet on anything they normally argue about.

Measure challenges per user, acceptance rate, participants per challenge, repeat wagers, wager categories, time to resolution, attestation participation, disputes, invitations sent, and new users per invitation.

C. Money Alpha

Move to real funds only after the legal structure is understood. Keep limits small, remain invite-only, and geographically constrain the product if counsel recommends it.

19. Legal Workstream

Run legal analysis in parallel with engineering. Use counsel with actual experience in CFTC/event contracts, gaming, fintech, crypto, and money transmission.

Core legal question: Can a platform facilitate private, non-public, peer-to-peer social wagers between known participants, using noncustodial smart-contract escrow, participant-directed resolution, strict monetary limits and no secondary market, while charging a settlement/software fee? If so, under what federal and state structure?

- Gambling/wagering laws.
- CFTC jurisdiction.
- Money transmission and custody.
- KYC/AML.
- State restrictions and geofencing.
- Age verification.
- Effect of charging the 1% fee.
- Any Robinhood Chain-specific constraints.

20. Regulatory Contingency

Keep the social layer and settlement layer separable. If direct peer-to-peer wagering is problematic, the product can remain the group, challenge, invitation, social, reputation, leaderboard, and discovery layer while compliant or regulated infrastructure provides the financial exposure underneath.

21. What Not to Build Yet

- No public markets or order books.
- No AMMs.
- No tradable wager tokens.
- No native token or DAO.
- No NFTs.
- No advanced universal oracle network.
- No complicated crypto wallet UX.
- No desktop-first product.

The product is not blockchain. The product is: "I'll bet you."

22. The Experiment

The first milestone is behavioral, not financial. Week 1: Kevin invites Fred into a wager. Week 2: Fred creates his own wager with Mike. Week 3: Mike creates a group and invites five people who were not previously users.

If that loop occurs organically, the product has earned the right to scale.

23. Immediate Execution

- Product: finalize wager lifecycle and wireframes.
- Engineering: deploy the simplest Wager contract to Robinhood Chain testnet.
- Legal: send a one-page product description and targeted questions to specialized counsel.
- Alpha: recruit five real friend groups.
- Success criterion: users begin inventing wager types the product team never anticipated.

A social protocol for putting money behind everyday predictions and challenges.